

July 15, 2026 06:24 AM GMT

ASML Holding NV | Europe

Notable Beat and Raise

Reaction to earnings

Strengthens our thesis
Impact to our thesis

↑ Meaningful upside
Financial results versus consensus

↑ Meaningful revision higher
Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Company guides well ahead of expectations for Q3 and FY26 - AI driven demand in particular is driving sales/profit higher.
- Guide is raised for FY26 (up c.34% yy to €44bn; MS/e €39.4bn) with Q3 guide of €11.5bn also ahead of cons (12% up on €10.3bn expected)
- The company is seeing greater High NA readiness and points to Intel use at 18A - earlier than expected. Also announces CMD for June 10th 2027
- ASML is to materially increase capacity for LNA EUV systems - sees c.65 in 2026, c.85 2027 (although c.90 talked to) and c.110 by 2028, much as we previewed.
- Margins are better on stronger overall sales in Q2; guide of 55-57% in Q3 is well ahead of street/MS (c.52%); FY26 is guided to c.55% c.260bps up on cons.

What happened. ASML reported €9.3bn Q2 sales (c.6% above cons) and a gross margin of 54% (above cons and guide). Higher sales volumes and business mix (including IBM) are contributing to better margins. No mention of bookings as expected (same as last Q) and yet company talked of very strong intake continuing across H1 and customers looking to accelerate capacity expansion which is suggestive of strong sales momentum into FY27. We note the company talking to customer LTAs as signs of commitments to come much as we previewed. The company guided c.€11-12bn sales for Q3 with c.55-57% GM%; given opex guide (R&D c.€1.2bn and SG&A c.€400m) we think that implies an operating income of €4.8bn or margin of c.42% (cons c.37%).

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ASML Holding NV (ASML.AS, ASML NA)

Top Pick

ADRASML.O	
Technology - European Semiconductors Netherlands	
Stock Rating	Overweight
Industry View	In-Line
Price target	€1,830.00
Shr price, close (Jul 14, 2026)	€1,555.80
52-Week Range	€1,741.00-587.80
Mkt cap, curr (mn)	€618,625
Net debt (12/26e) (mn)*	€(2,443)
EV, curr (mn)*	€609,694

* = GAAP or approximated based on GAAP

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Exhibit 1: ASML Q1: Actuals vs consensus into the print

	2Q26e				3Q26e			
	Actual	MSe	Cons	Actual vs. Cons.	Guide	MSe	Cons	Guide vs. Cons.
System Sales	6,564	6,560	6,337	4%		8,390	7,884	
IBM Sales	2,762	2,469	2,496	11%		2,213	2,434	
Total Net Sales	9,326	9,029	8,828	6%	11,500	10,603	10,367	11%
Gross profit	5,035	4,684	4,582	10%	6,440	5,491	5,405	19%
Gross margin (%)	54.0%	51.9%	51.9%	209bps	56.0%	51.8%	52.1%	386bps
Operating income	3,456	3,171	3,056	13%	4,840	3,926	3,831	26%
EPS (Diluted)	7.58	7.15	6.83	11%		8.62	8.54	

	FY26e				FY27e			
	Guide	MSe	Cons	Guide vs. Cons.	Guide	MSe	Cons	Guide vs. Cons.
System Sales		30,102	29,723			38,779	38,435	
IBM Sales		9,297	9,838			10,650	11,042	
Total Net Sales	44,000	39,399	39,576	11%	49,429	49,690		
Gross profit	24,200	20,564	20,741	17%		27,169	26,823	
Gross margin (%)	55.0%	52.2%	52.4%	259bps		55.0%	54.0%	
Operating income		14,384	14,451			20,757	19,934	
EPS (Diluted)		32.00	32.24			47.38	44.57	

Source: Company data, Morgan Stanley Research estimates (e)

Valuation Methodology and Risks

ASML Holding NV (ASML.AS)

We value ASML at a P/E multiple of 35x, at the upper end of our usual cycle peak valuation range of 30-35x. This is in line with historical peaks, but we note upside potential from significant foundry capex as well as continued rapidly rising memory prices. Applying a 35x P/E multiple to our 52.19 FY28 EPSe gives us a PT €1830.

Risks to Upside

- Meaningful ramp-up in logic/foundry spend with nrs 2 and 3 returning to investment mode
- Higher HBM/DRAM spend than expected
- Servicing margins expanding
- Tech sovereignty programmes crystallising

Risks to Downside

- Materially weaker end-market demand (foundry / DRAM especially)
- Strong inflation cycle and Chinese weakness driving slowdown and more order push-outs
- Absent High NA adoption (DRAM 2028+) inhibiting multiple

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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ASML Holding NV (ASML.AS) - As of 07/15/26 GMT in EUR
Industry : Technology - European Semiconductors



Stock Rating History: 7/1/21 : O/I; 2/9/22 : NA/I; 11/1/22 : NA/NR; 11/7/22 : O/A; 9/20/24 : E/A; 10/17/24 : E/I; 9/22/25 : O/I

Price Target History: 6/18/21 : 680; 7/21/21 : 720; 9/23/21 : 800; 2/9/22 : NA; 11/7/22 : 650; 11/14/22 : 700; 2/13/23 : 770;
10/12/23 : 700; 1/16/24 : 725; 1/19/24 : 750; 1/25/24 : 875; 2/27/24 : 1000; 6/28/24 : 1100; 7/18/24 : 1000; 9/5/24 : 925;
9/20/24 : 800; 10/17/24 : 680; 4/24/25 : 640; 7/9/25 : 660; 7/17/25 : 600; 9/22/25 : 950; 10/16/25 : 975; 11/26/25 : 1000;
1/15/26 : 1400; 6/2/26 : 1660; 7/7/26 : 1830

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Technology - European Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/14/2026)
Lee Simpson		
ASML Holding NV (ASML.AS)	O (09/22/2025)	€1,555.80
Infineon Technologies AG (IFXGn.DE)	O (02/06/2025)	€71.82
STMicroelectronics NV (STMPA.PA)	O (03/26/2026)	€61.36
Nigel van Putten		
Aixtron SE (AIXGn.DE)	E (05/25/2023)	€43.90
ASM International NV (ASML.AS)	O (06/19/2024)	€927.60
BE Semiconductor Industries NV (BESI.AS)	O (11/07/2022)	€251.60
Melexis N.V. (MLXS.BR)	E (02/05/2026)	€74.35
Nordic Semiconductor ASA (NOD.OL)	E (02/10/2025)	NKr 164.20
Soitec SA (SOIT.PA)	O (03/26/2026)	€102.75
VAT Group AG (VACN.S)	E (03/21/2025)	SFr 698.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.